UCLA

ANDERSON SCHOOL OF MANAGEMENT

SURBHI KAUL

VP, Product Management
Cisco Systems



PRODUCT MANAGEMENT FOR MSBA

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LECTURE 2



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RECAP



- PM Role
- Innovation
- Jobs to be done
- Product Critique Discussion
- Questions?

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INTRODUCTION TO PRODUCT MANAGEMENT

- PROBLEM WORTH SOLVING
- MARKET ANALYSIS & COMPETITIVE LANDSCAPRE
- PRODUCT DIFFERENTIATION
- PRD – PRODUCT REQUIREMENTS DOCUMENT
- USER STORIES & MOCKS
- VALUE PROP



Not all good products make good businesses - Des Traynor

Apple Product Strategy (2011 Offsite Agenda) - Steve Jobs

"Inspired: How to Create Tech Products Customers Love" by Marty Cagan

Escaping the Build Trap, Part 1

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Problem Identified

Customer Painpoint

Clayton Christensen's concept of "Jobs to be done"

- BUILD $
- GET PAID $$$

When we buy a product, we essentially "hire" it to help us do a job. If it does the job well, the next time we're confronted with the same job, we tend to hire that product again. And if it does a crummy job, we "fire" it and look for an alternative."

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PRODUCT MARKET FIT (PMF)

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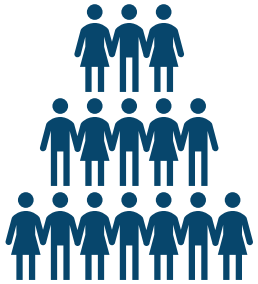
Good product = Good business?

If you find a pain point and build a solution, does that mean a sustainable & profitable business?

Why? Why not?



What is PMF?



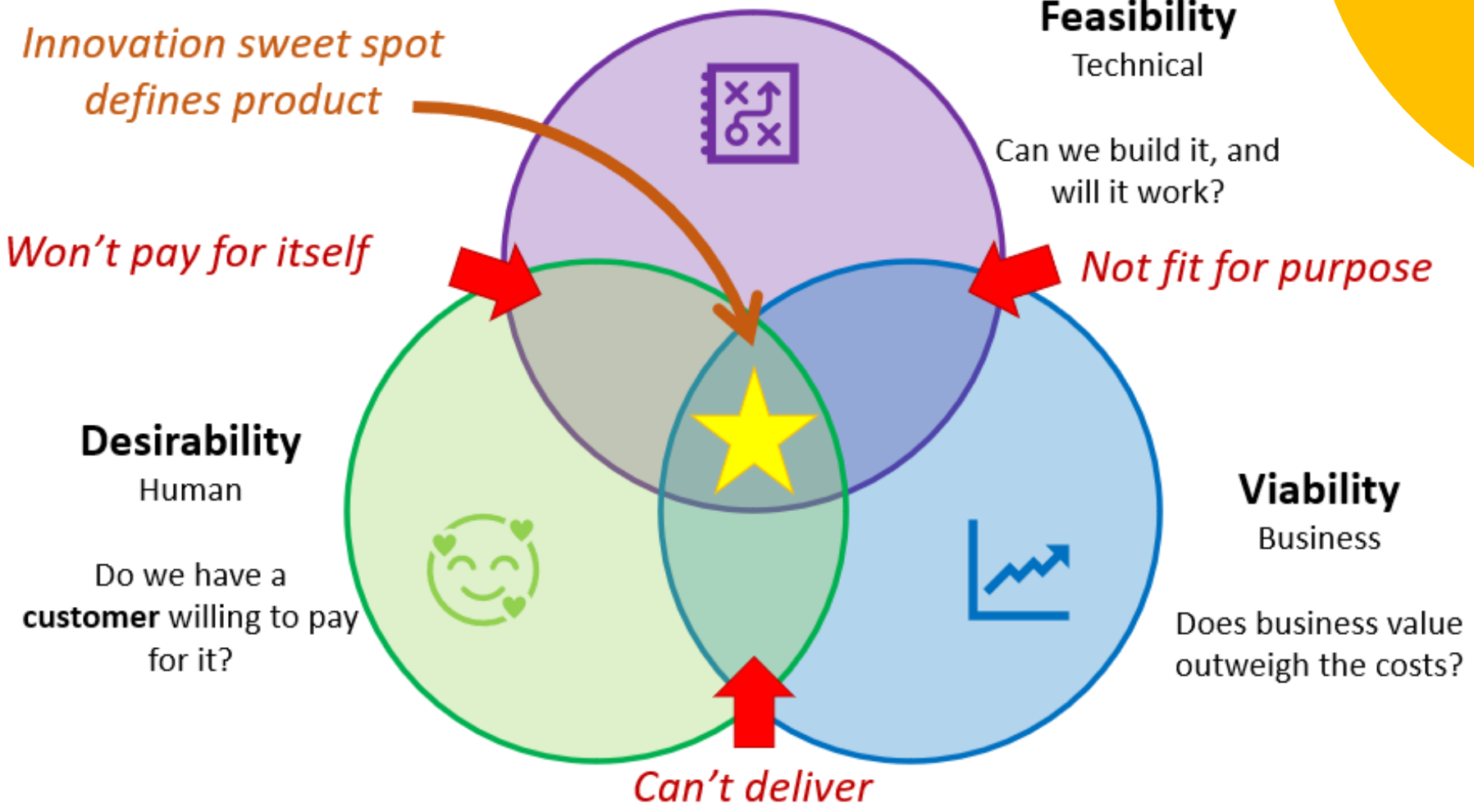
Do people want it?



Would they pay for it?



Could I build it?


Innovation sweet spot defines product
Feasibility
Technical
Can we build it, and will it work?
Won't pay for itself
Not fit for purpose
Desirability
Human
Do we have a **customer** willing to pay for it?
Viability
Business
Does business value outweigh the costs?
Can't deliver

WHAT IS PMF?

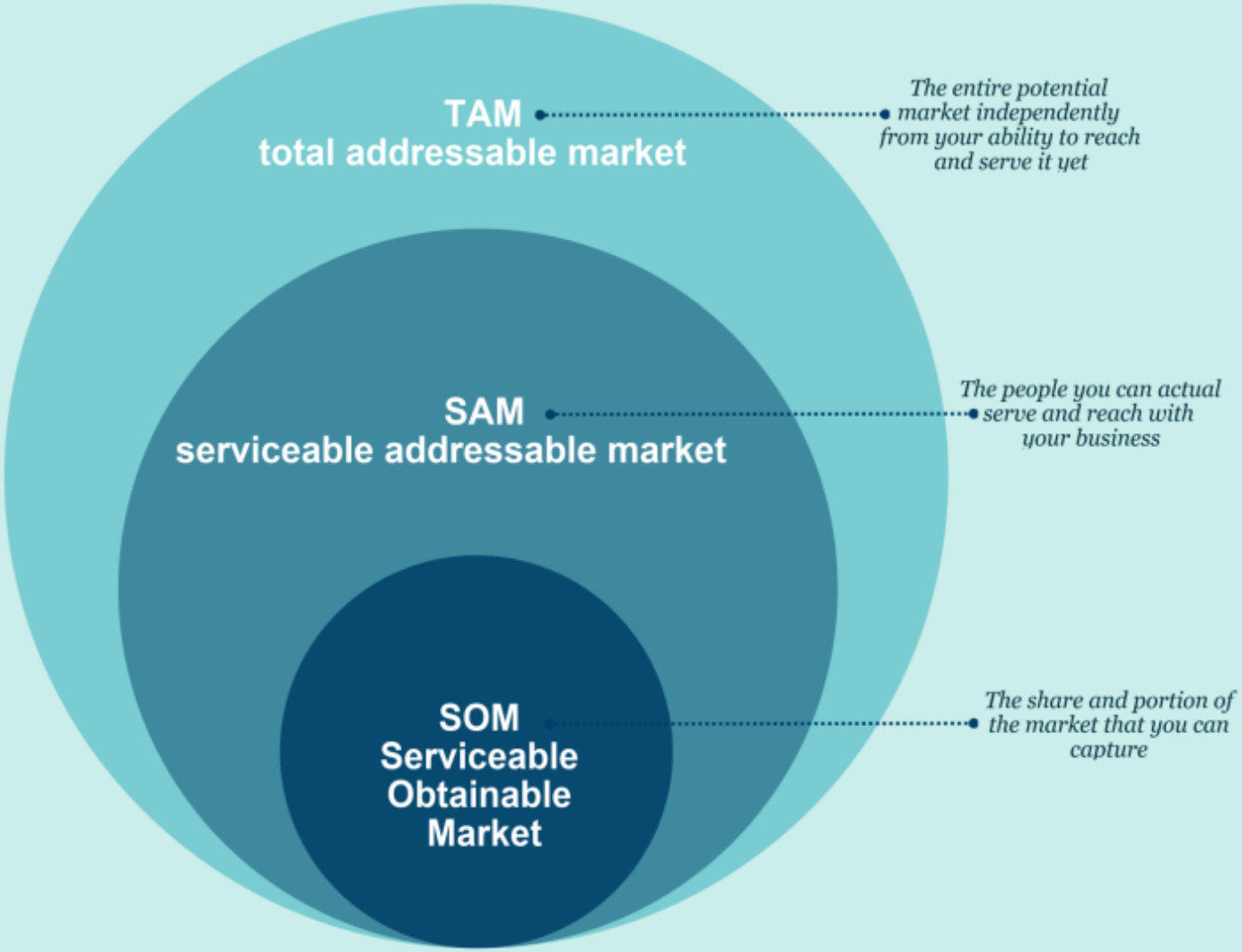
1. **Market Needs Satisfaction**: PMF is achieved when a product effectively addresses the specific needs and pain points of a well-defined target market. It's not just about having a product that works but one that fulfills a genuine demand.
2. **User Satisfaction**: Beyond solving a problem, PMF implies that users or customers are not just satisfied but delighted with the product. They find value in it, and their feedback is overwhelmingly positive.
3. **Market Acceptance and Growth**: Achieving PMF leads to a significant increase in user or customer adoption and retention rates. It often results in rapid, organic growth as satisfied users refer others to the product.
4. **Clear Product Differentiation**: In a market with PMF, the product stands out from competitors. It's unique in a way that's highly appealing to the target audience, giving the business a competitive advantage.
5. **Sustainable Business Model**: PMF is not just about product success but also financial viability. Businesses with PMF have a clear path to monetization and profitability, which often includes effective pricing strategies.

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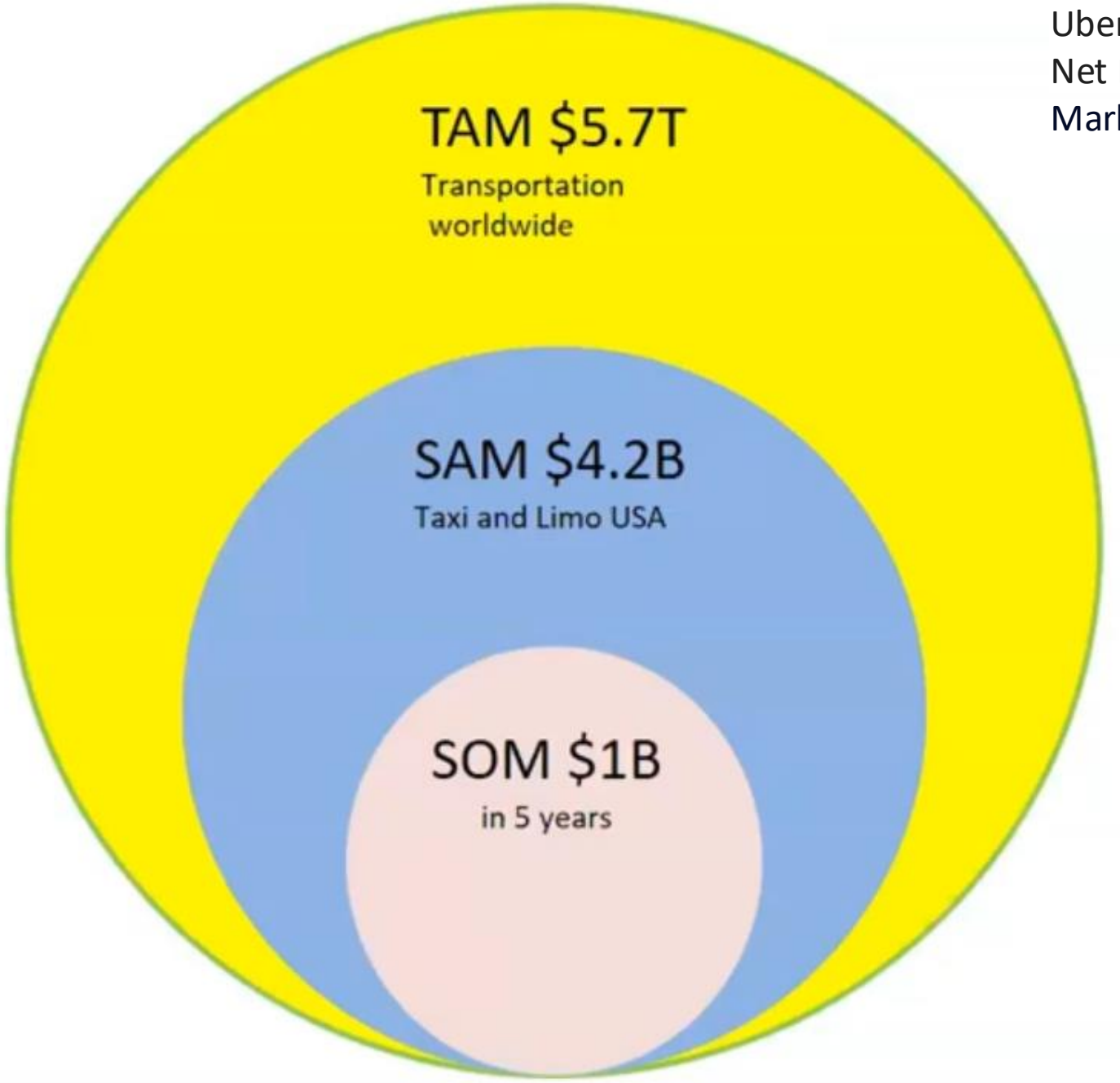
Target Market

Market Sizing In A Nutshell

Market sizing is the estimation of the potential of a market. Incorporating market research, market sizing is useful for businesses looking to introduce a new product or service to evaluate the business opportunity. Market sizing also helps investors to understand the value of the potential opportunity within the target company's business plan.

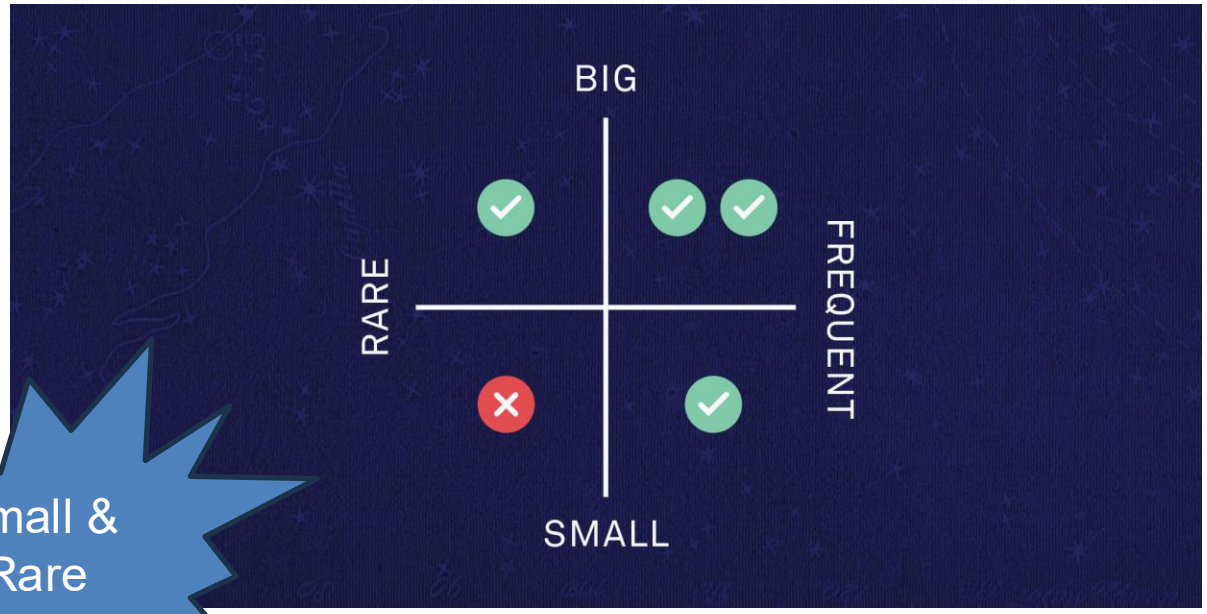


Target Market



Uber Technologies
Net Revenue: $31.88B
Market Cap: $149B

Target Market



Small & Rare Trap!

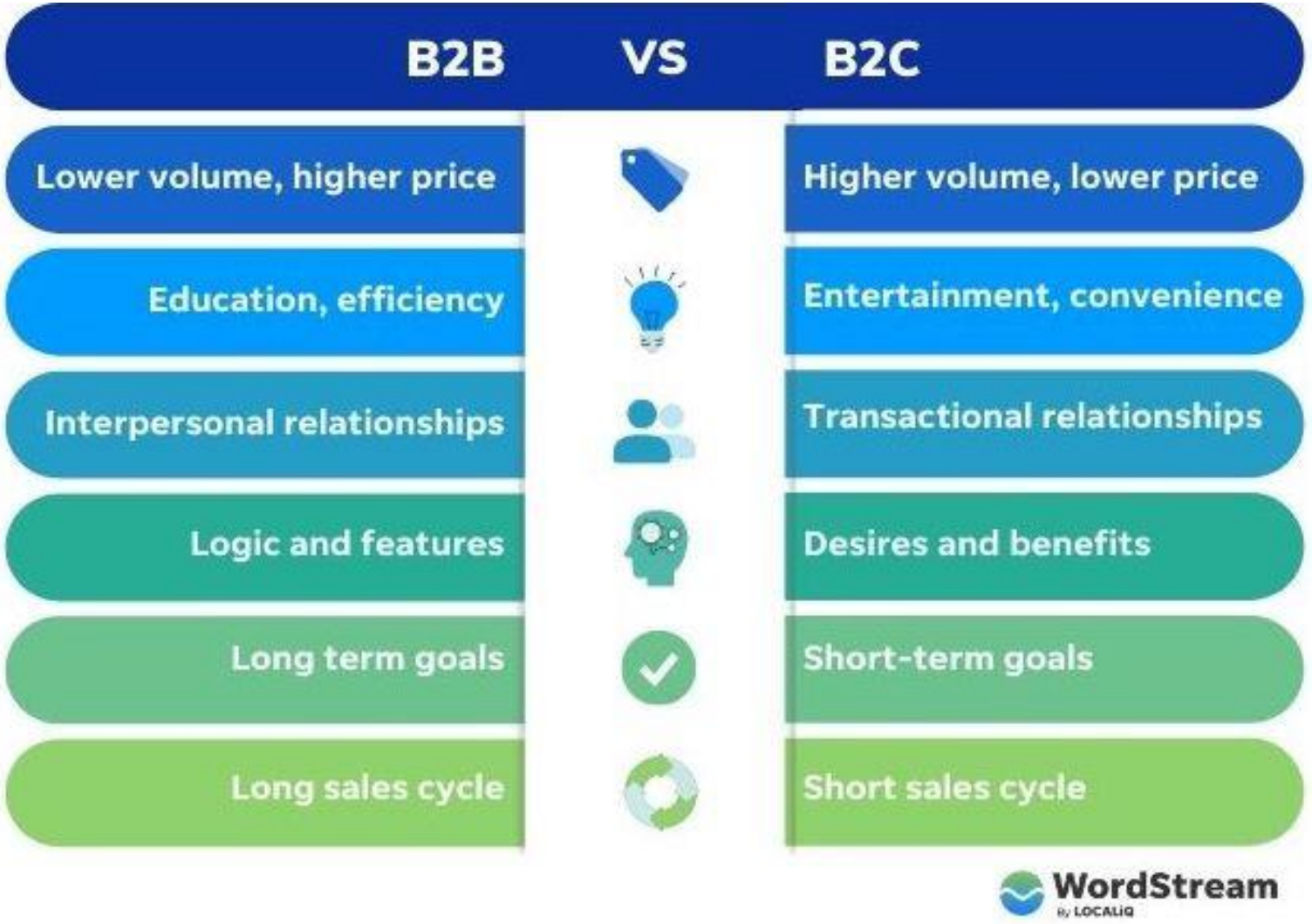
- **Big, frequent problems** e.g. collaborating on a document, communicating with customers, chatting with teammates, etc. This is a great place to be.
- **Small, frequent problems** e.g. scheduling a call, sharing an image, recording an expense. This is a good place to be.
- **Big, infrequent problems** e.g. running an employee survey, booking complex business travel, preparing in-depth reports. This is a good place to be.

Pricing

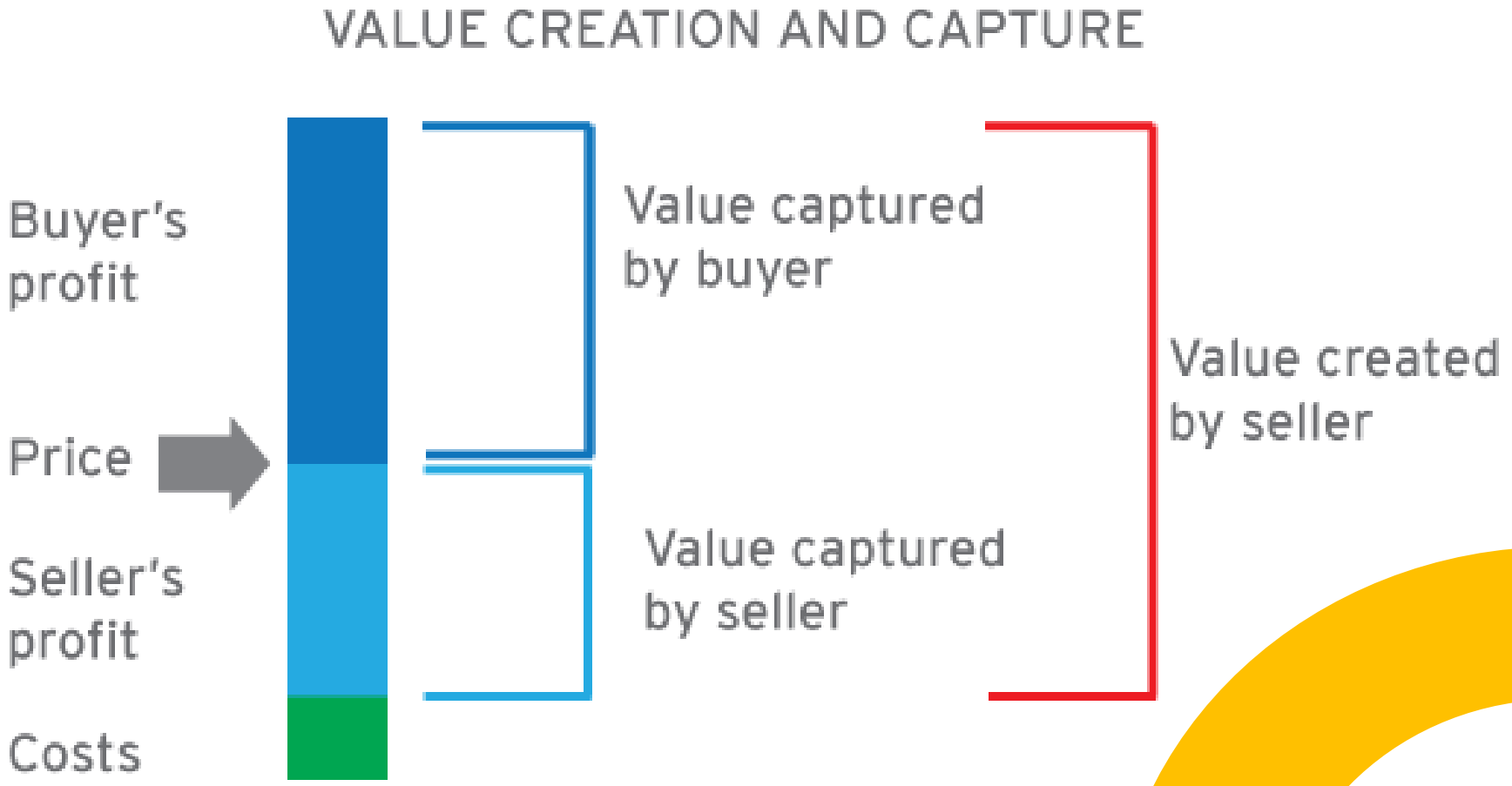


- How does economics inform pricing decisions?
- How can my company maximize its profits?
- How can my company learn what our customers want and are willing to pay?
- How should my company's prices compare to our competitors' prices?
- When and how should my company change our prices?
- How can I help make the best pricing decisions?
- How can I demonstrate my pricing expertise to others?

Pricing

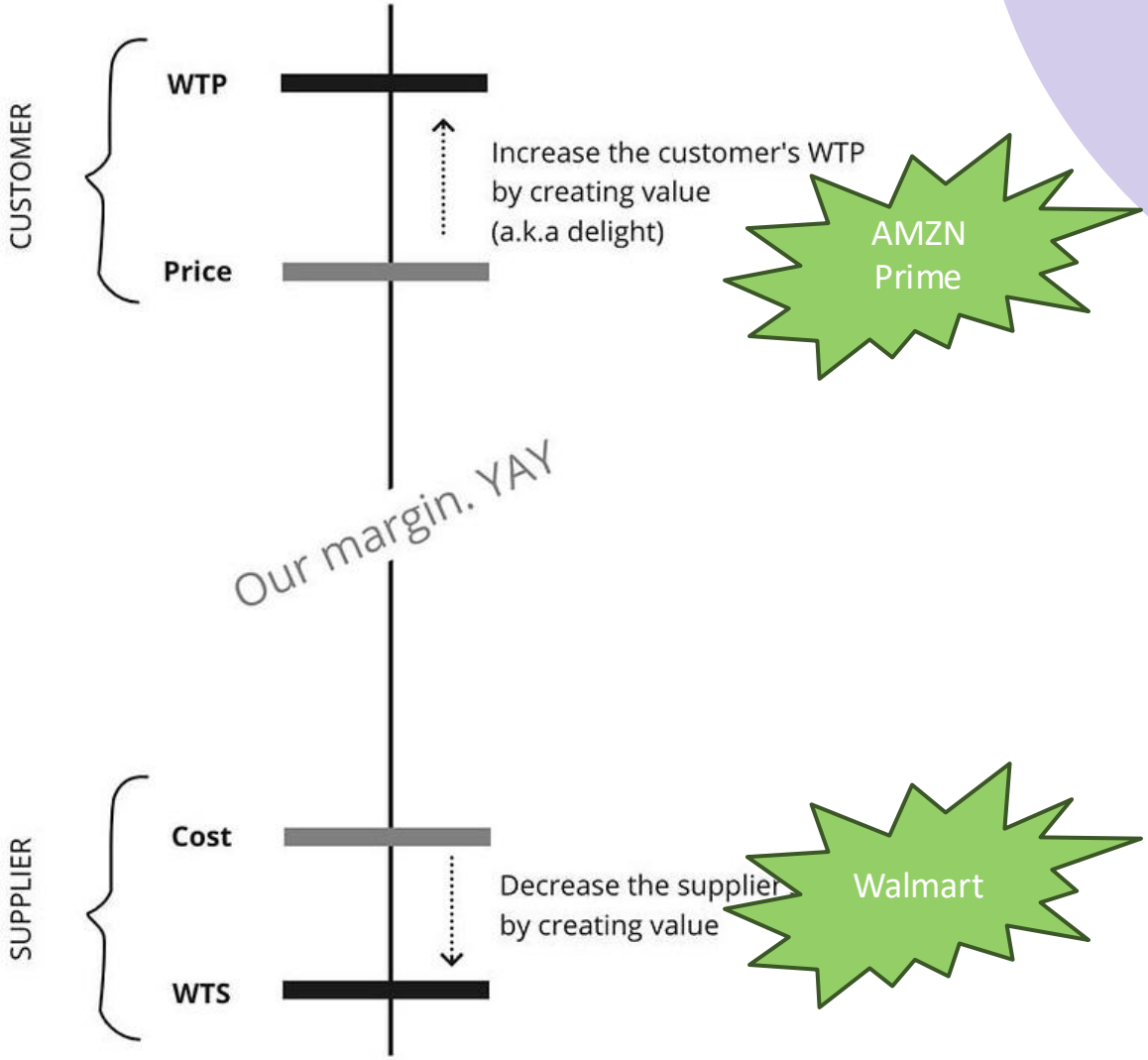

B2B
VS
B2C
Lower volume, higher price
Higher volume, lower price
Education, efficiency
Entertainment, convenience
Interpersonal relationships
Transactional relationships
Logic and features
Desires and benefits
Long term goals
Short-term goals
Long sales cycle
Short sales cycle
WordStream
by LOCALIQ

Pricing

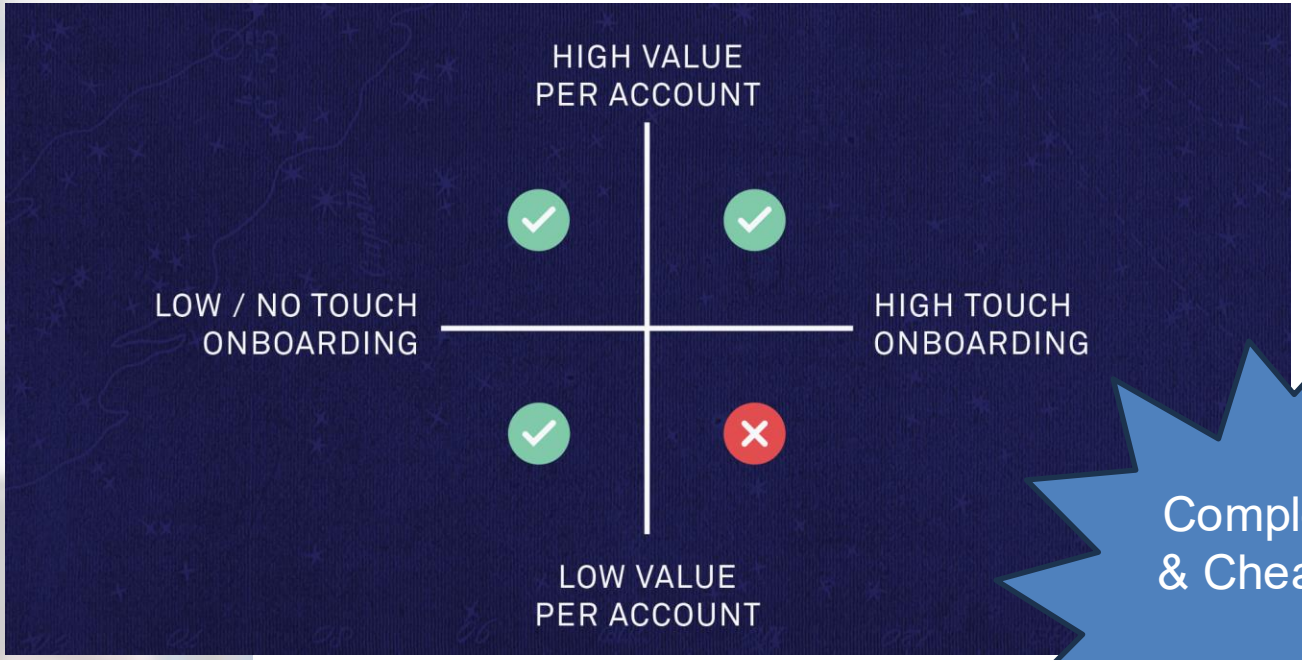


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The Value Stick



Generating Value

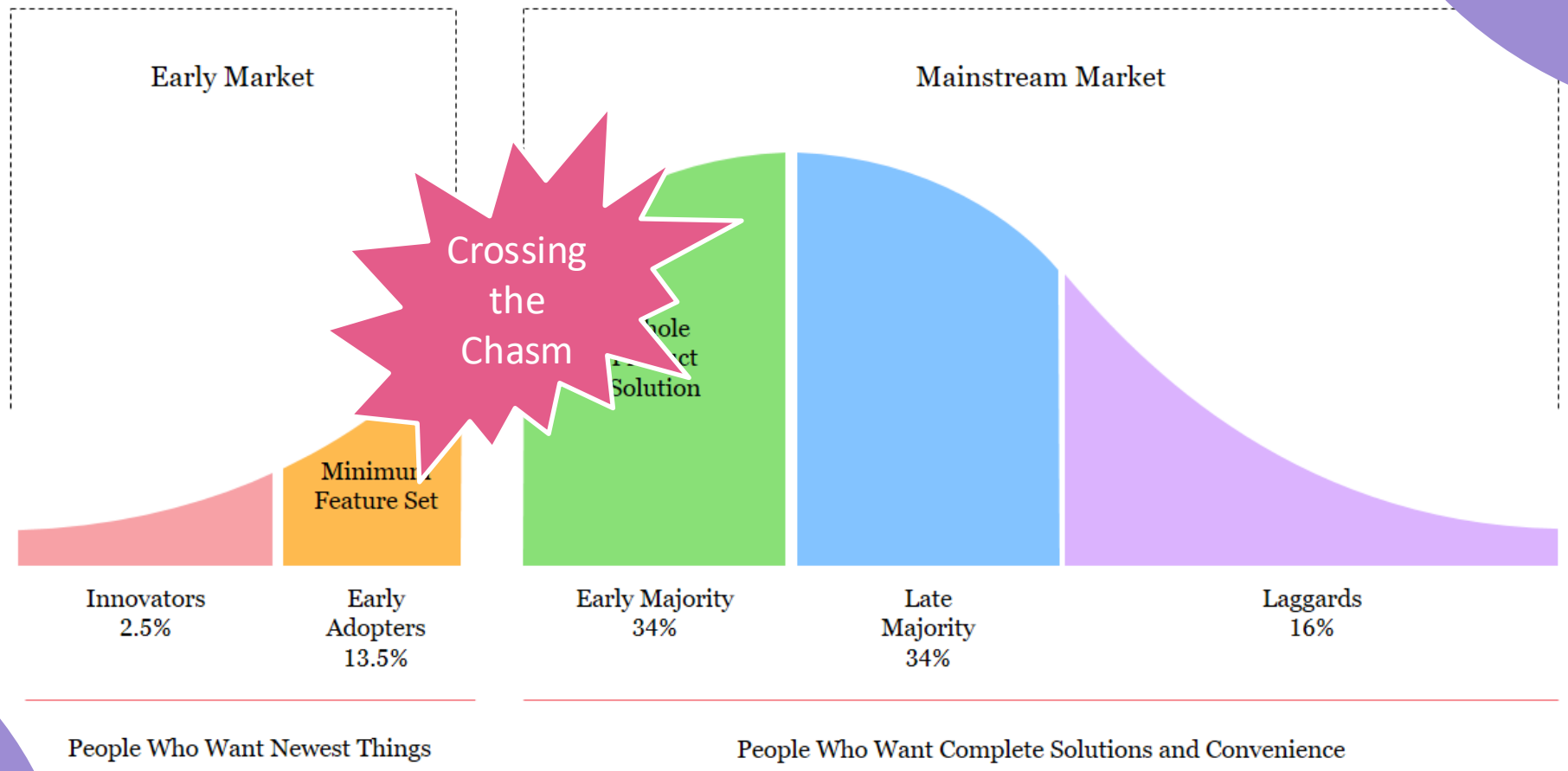


Complex & Cheap!

- Build High Value, No Touch Products (B2C)
- Beware of building cheap complex products (B2B)
  - If complexity is necessary, then charge for it
  - Provide Services, Support, Customer Success
- On-prem versus SaaS considerations
- CAC and LTV Considerations

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Capturing the Market



COMPETITIVE ANALYSIS

Step 1
Identify your competitors



Step 2
Analyze their products and services



Step 3
Research their pricing and customer feedback



Step 4
Evaluate their marketing strategies



Step 5
Analyze their strengths and weaknesses



PRODUCT DIFFERENTIATION

- Product differentiation is a strategy through which a brand identifies its unique selling propositions in different market conditions, making it different from the competitors on the market.
- These propositions include choosing the right pricing strategy or pricing method that can then be leveraged in branding and messaging to attract the target audience and bring new customers.

PRICING MODEL

LOWEST PRICE

PREMIUM PRICE
(Differentiated Product)



- Whole Foods
- Walmart
- Lush
- McDonalds
- Chipotle
- Tesla

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PRODUCT DIFFERENTIATION

Strong Marketing strategy in a Saturated market

Convey why the product is unique among Others in the product class



Example

Brands highlight their ingredients in the package to make their product stand out

PRODUCT A



Organic multi-grain bread

PRODUCT B



Gluten free, Keto bread

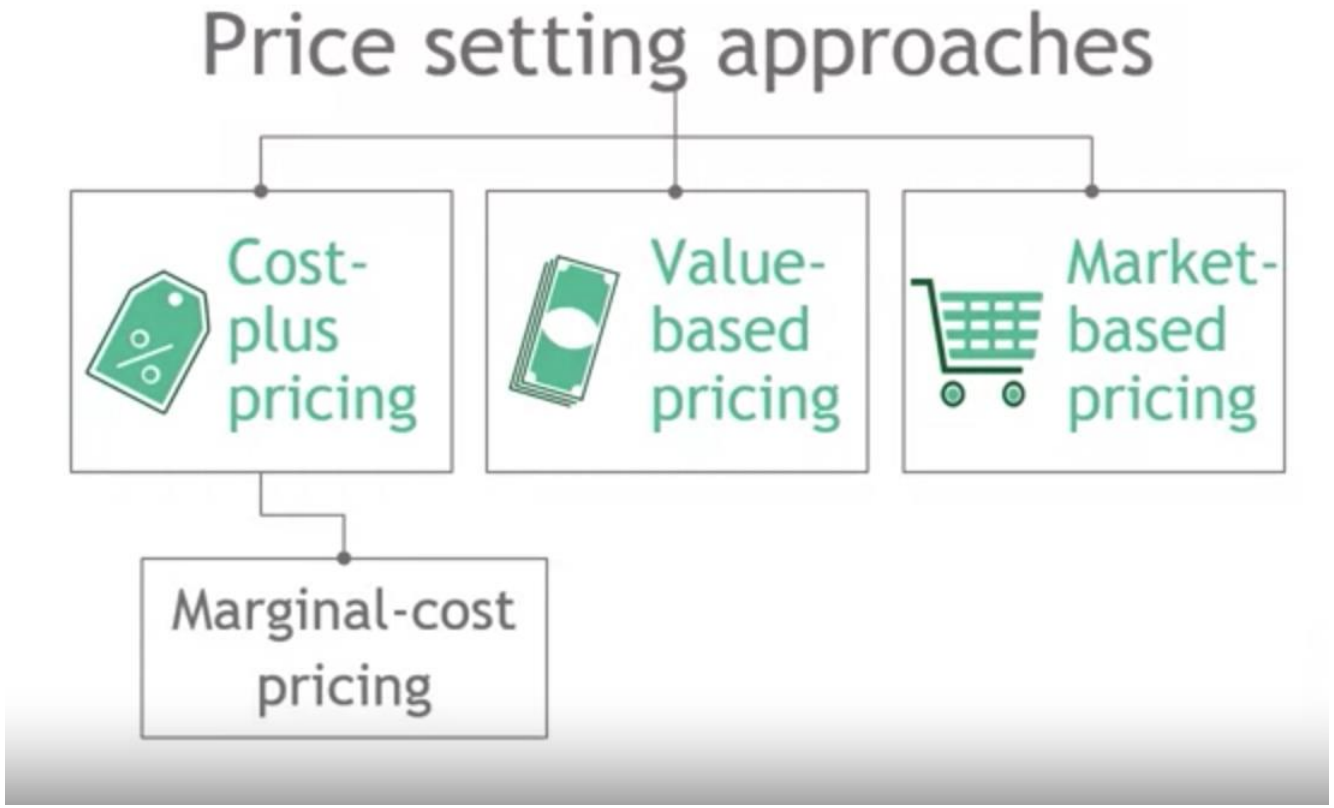
PRODUCT C



Vegan oat bread

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Three main approaches to setting prices



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Price discrimination vs. product differentiation

Branded spring water

- National brand
- Spring water
- Priced higher



$1.20

Branded products
Demand premium

Private label purified water

- No brand
- Purified water (not spring)
- Priced lower



$0.65

Commoditized markets
Price wars



PRODUCT DIFFERENTIATION CAN BE ACHIEVED BY

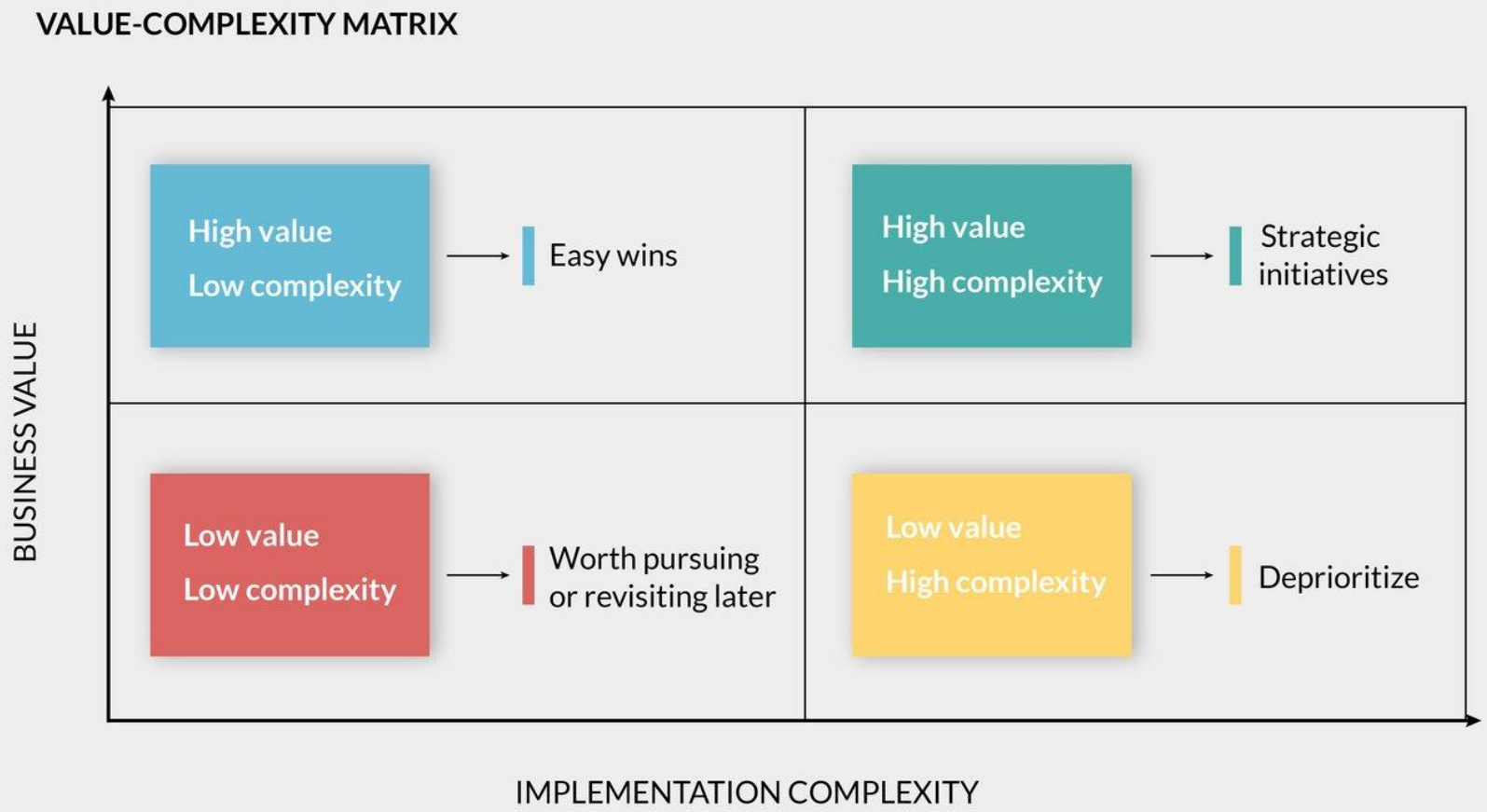
- ➢Packaging
- ➢Features
- ➢Segmentation of market
- ➢Customer Service/CX
- ➢Ease of use of product
- ➢Time to value
- ➢Price

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PRODUCT VIABILITY

- Effort to build the product
- Ability to recover the cost
- Grow the market without growing your cost (margins)

Example: cloud usage, support costs

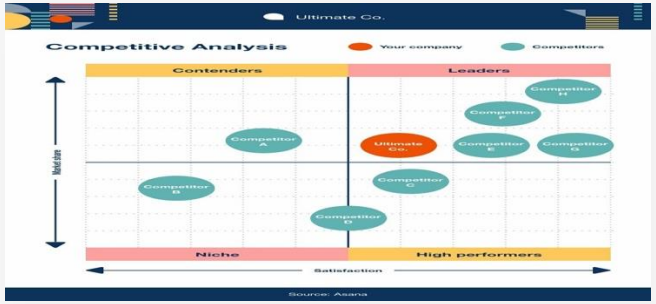


UNDERSTANDING THE MARKET



PRODUCT/MARKET FIT

Product Managers need to have a good understanding of the changing market conditions and be able to define the needs of that market.



ANALYZING COMPETITORS

Understanding what competitors are doing and how they are satisfying the market need



CREATING DIFFERENTIATION

How to show value of your product compared to other options that the customer might have

By understanding the market needs, companies can create amazing products that meet customer needs and stand out from the competition.

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PRD

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PRD Purpose


Development
Customers
Sales
Product Management
Support
Legal
Marketing
Finance
Research

WHAT IS A PRD?

In many ways, the PRD is like a short storybook: it tells the tale of your product from beginning to end

It starts with an introduction, setting the stage and introducing the main characters (in this case, your product and its users) – Press Release

It then moves on to the plot, describing the problem your product solves and the challenges that users face without it – JTBD/Desirability

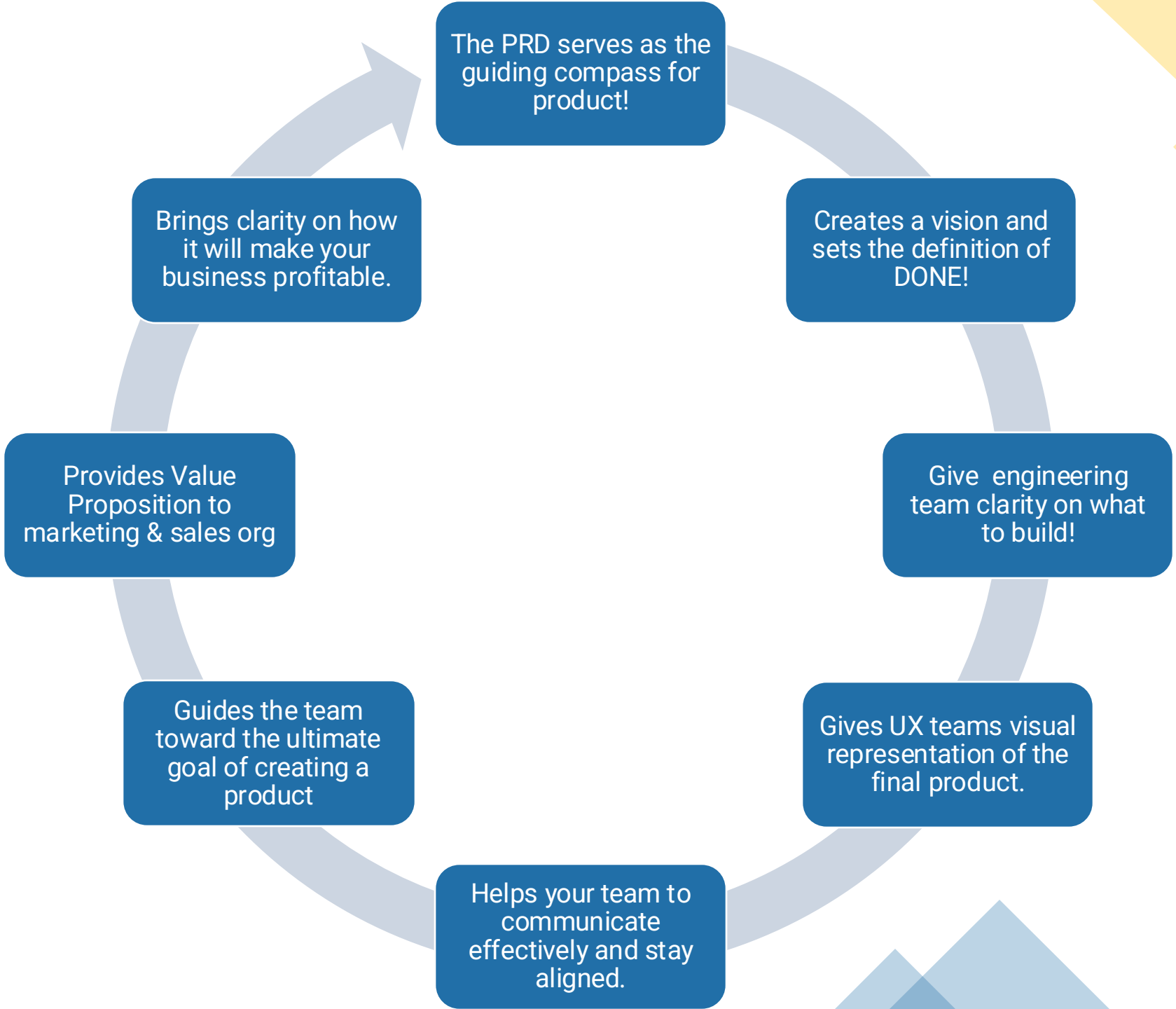
It describes your product's key features and functionalities and details the user experience – Wires/Mocks

Next, it covers the feasibility of the solution– a clear guide for developers to create a successful product.

Lastly, it concludes with potential pricing and business model to achieve viability of generating revenue and becoming a profitable venture



In short, the PRD is the key to your product's success, the compass guiding your team on this grand adventure, helping you navigate the twists and turns of product development.


The PRD serves as the guiding compass for product!
Creates a vision and sets the definition of DONE!
Give engineering team clarity on what to build!
Gives UX teams visual representation of the final product.
Helps your team to communicate effectively and stay aligned.
Guides the team toward the ultimate goal of creating a product
Provides Value Proposition to marketing & sales org
Brings clarity on how it will make your business profitable.

Key Components of a PRD

Hardware, Software, SaaS

- **Business Objectives/PR**
  Clear goals that the product or feature aims to achieve from a business perspective.
- **Market Segment & User Personas**
  Detailed profiles of target users that guide design and development.
- **Product Description & User Stories**
  Prioritized descriptions of various scenarios and engagements the user/customer will have with the product .
- **Manufacturing & Supply Chain Requirements**
- **Functional Requirements & Architecture**
  Structure and relationships between key content areas and flows.
- **Technical Specifications**
  Technical requirements and implementation details for engineering.
- **Data & Security Considerations**
- **Release & Deployment Strategy**
- **Wireframes or Mockups**
  Visual schematics showing page layouts and element placement.
- **Release Plan or Roadmap**
  Providing a timeline for the development, testing, and release of MVP & phases of product.
- **Cost Estimate & Pricing**
  Providing estimates of manufacturing costs, including materials, labor, and overhead.
- **Success Metrics**
- **Analytics & Reporting**
- **Support & Maintenance**
- **Feedback & Improvements**
- **Performance & Scalability**

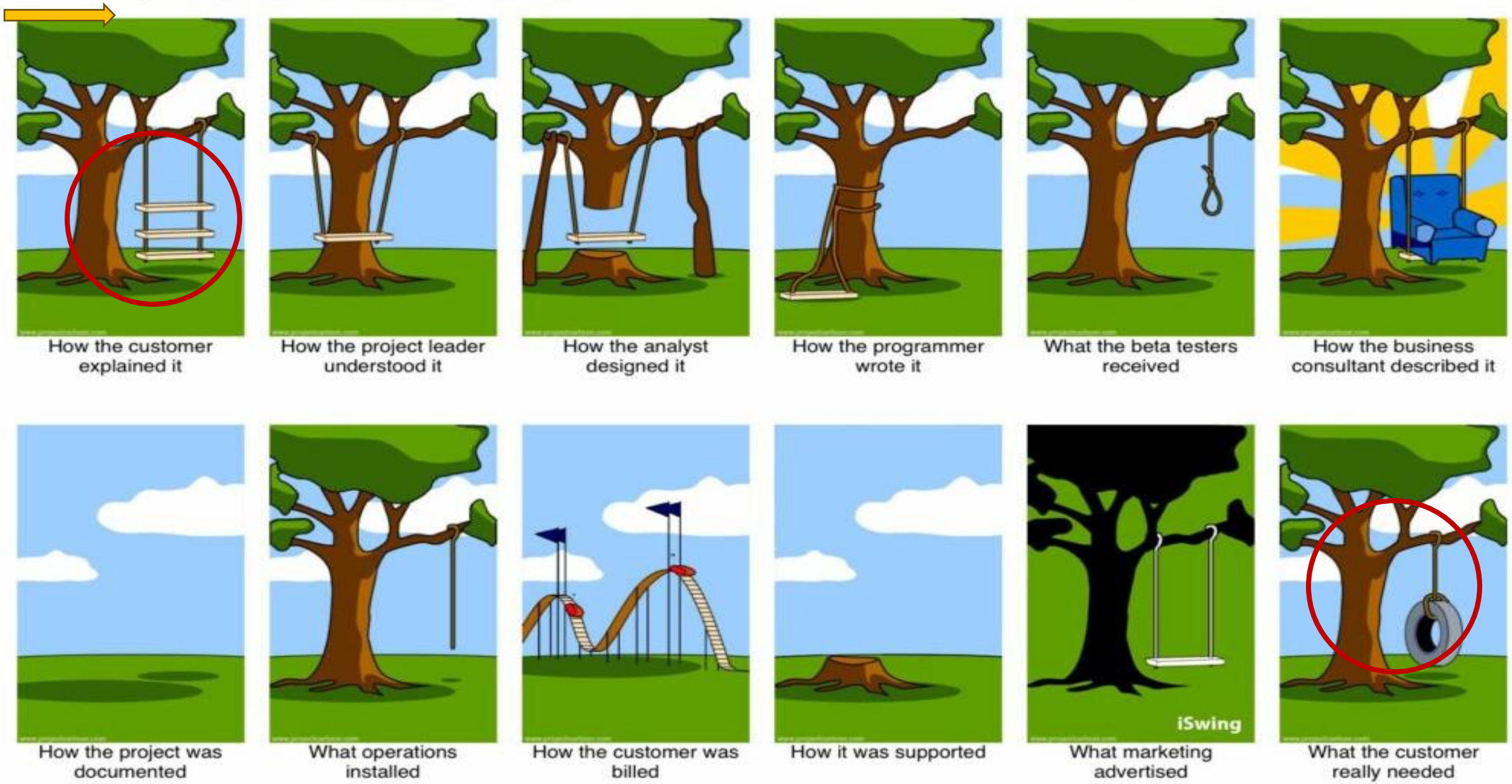
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Wireframes & Mocks

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HOW PROJECTS REALLY WORK…

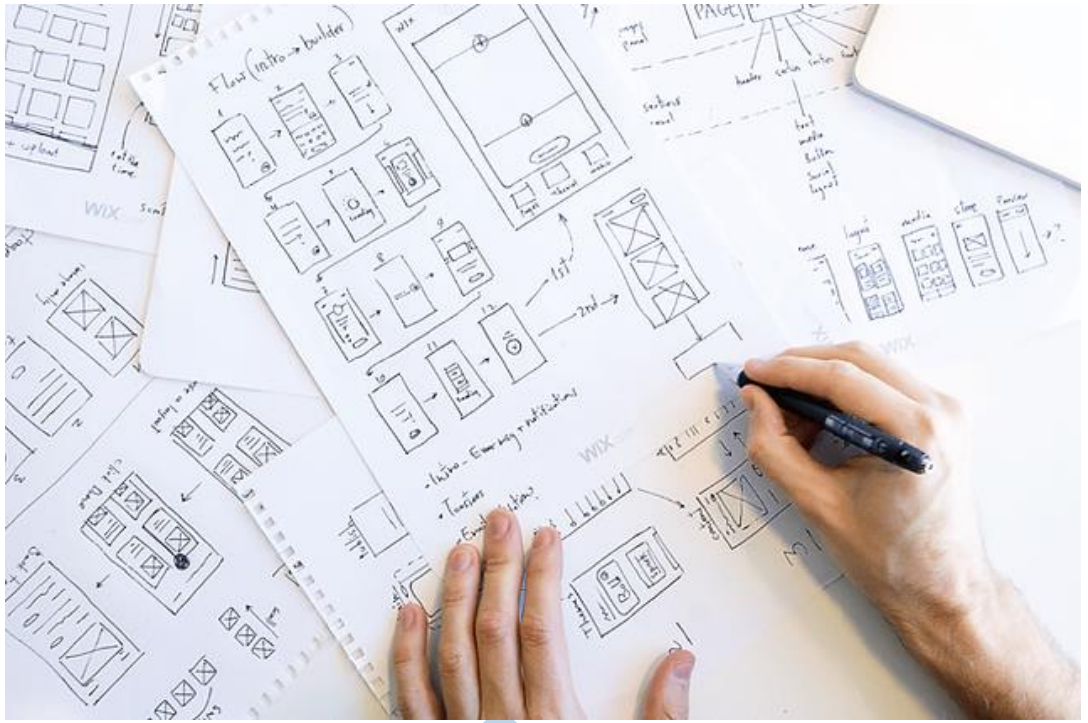


• A wireframe is a basic visual representation of the skeletal structure and layout of a digital interface. It outlines the placement of elements, content, and navigational components without detailed design or visual styling.

• Wireframes are basic, black and white renderings that focus on what the new product or feature will do

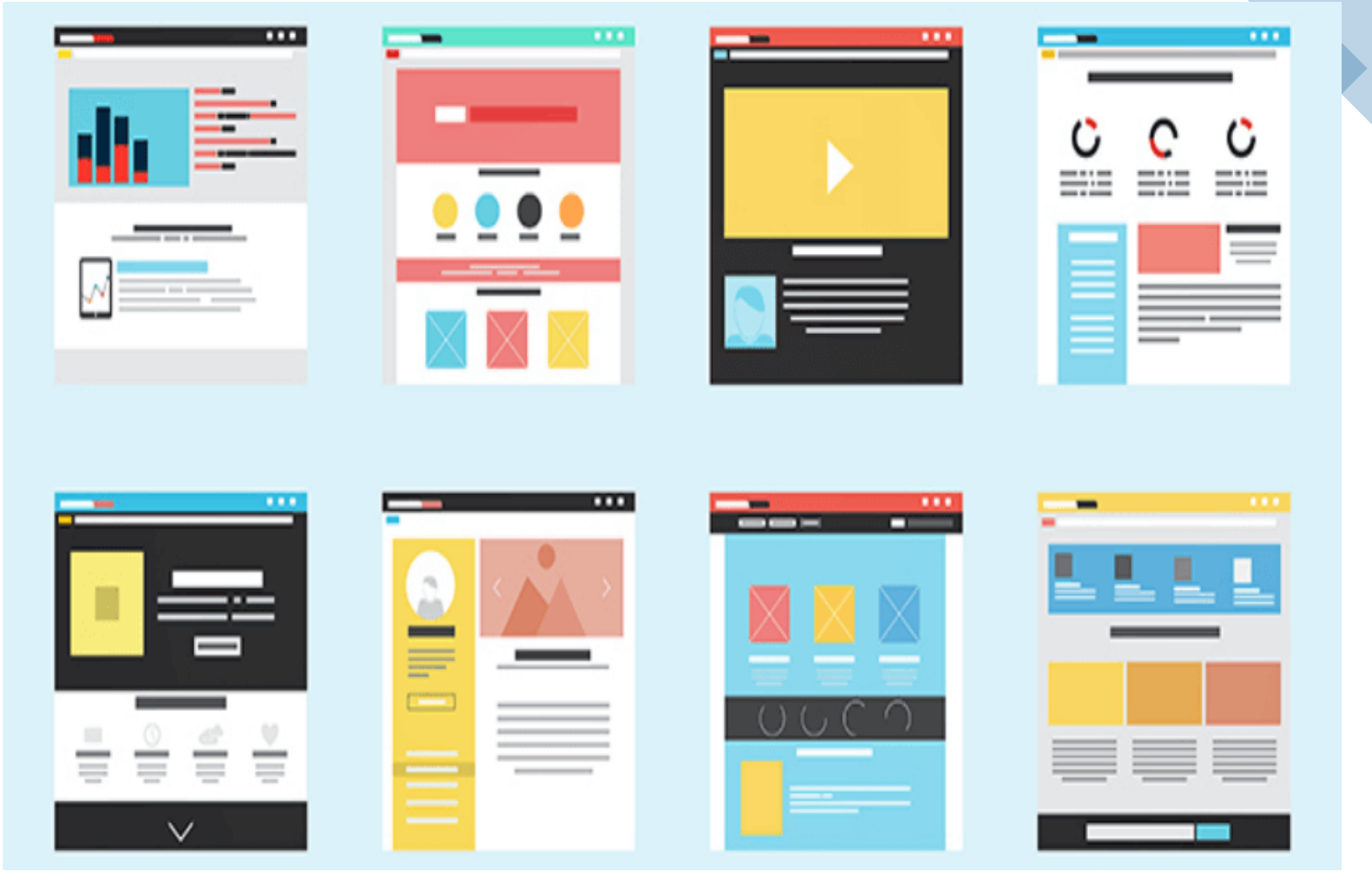
• 2D illustration of a page's interface that specifically focuses on space allocation and prioritization of content, functionalities available, and intended behaviors.

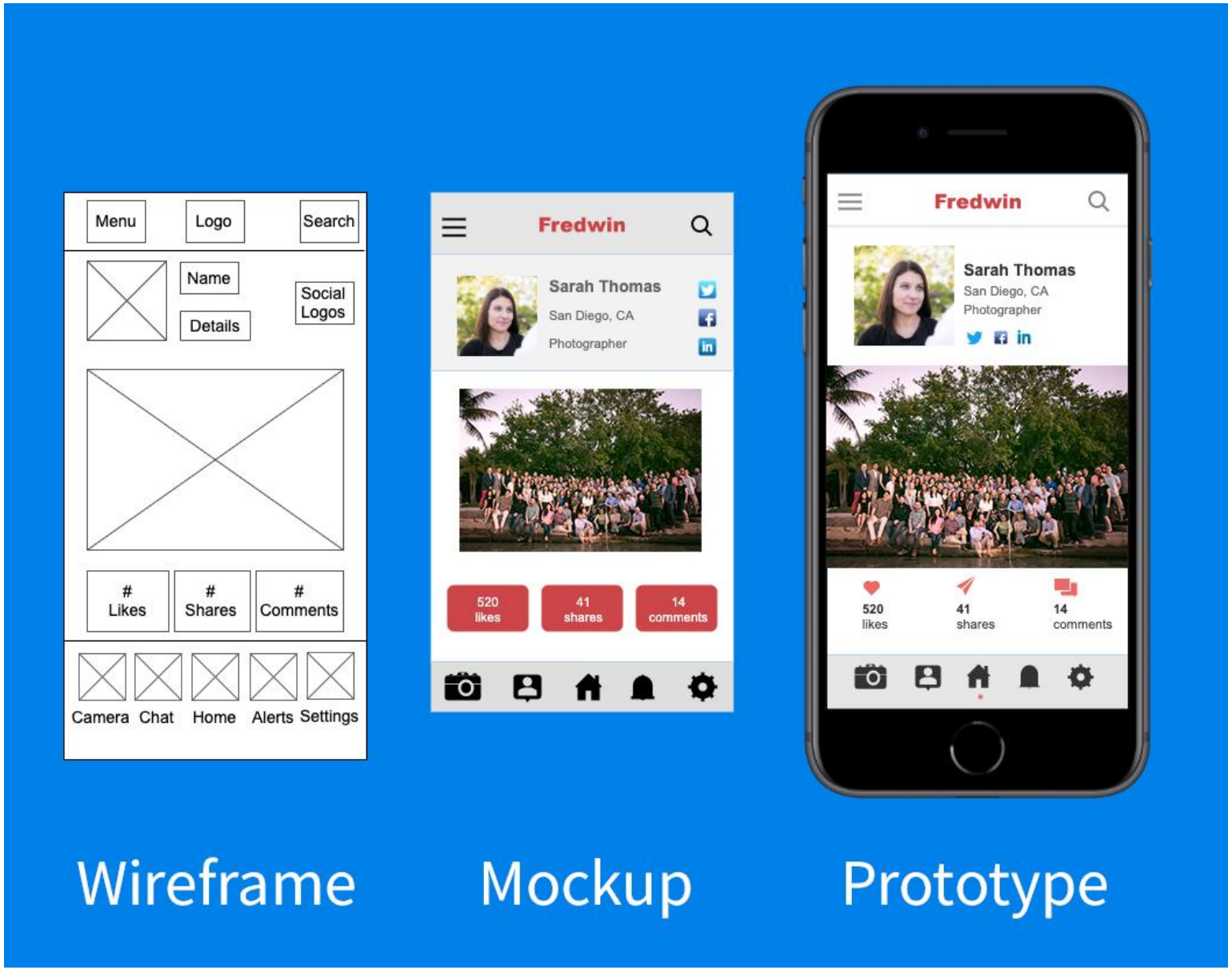
• Wireframes serve as a blueprint for the overall structure of a website or application. They focus on functionality, user experience, and layout, allowing stakeholders to visualize the basic design and arrangement of elements.



A mockup is a static, high-fidelity visual representation that provides a more detailed preview of the final product. It includes visual design elements such as colors, typography, images, and other aesthetic details.

Mockups give a clearer view of how the final product will look, helping designers, developers, and stakeholders to assess the visual aspects and aesthetics. They are valuable for making design decisions before moving to the development phase.




Menu
Logo
Search
Name
Social Logos
Details
Likes
Shares
Comments
Camera
Chat
Home
Alerts
Settings
Fredwin
Sarah Thomas
San Diego, CA
Photographer
520 likes
41 shares
14 comments
Fredwin
Sarah Thomas
San Diego, CA
Photographer
520 likes
41 shares
14 comments
Wireframe
Mockup
Prototype

Assignment 2:
PRD Part 1



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PRD

Write a PRD for a real or hypothetical product

PR & Product Value Proposition

- Press Release (Amazon)

Problem Statement

- Target customer segment
- JTBD: What will your product be hired for?
- What is the pain point you are solving for?

Market Size, Competitive Landscape

- Iterative or Category Creator
- What other products exist?
- Product Differentiation
  (Pricing to be added later Pricing)

Wireframes

- User experience
- Interactions & APIs

Functional & Technical specs

- For tech/eng teams
- Interactions & APIs

QUIZ #2





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GUEST SPEAKER: NIDHI WADMARK



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Nidhi Wadmark

Nidhi is a seasoned product management leader with experience at **Visa, PayPal, IBM, Kaiser Permanente, Juniper Networks and Federal Reserve Bank**, where she has built and scaled products used by hundreds of millions of consumers and merchants worldwide.

Beyond her corporate work, Nidhi was selected as a **Fellow at the Aspen Tech Policy**, where she explored the intersection of technology and public policy and partnered with the **State of CA CTO Office** to work on challenges that impact CA citizen experiences. She is a **part-time advisor at an AI Lab**, a frequent speaker at **AI-focused salons and product meetups and** has facilitated **product workshops at leading tech companies** such as Intuit.

Her career in the US started as a Flight Attendant! So yes, you could meander into product management via different pathways!



Appendix



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